NVIDIA | Investment committee decision

Recommendation: WATCH / DEFER. Do not initiate a position on the present evidence.

Prepared: October 19, 2026. **Security:** NVIDIA common stock (NVDA); no existing position. **Analytical horizon:** five forecast years, FY2027-FY2031. **Currency:** USD. **Share basis:** 24,514 million annual diluted weighted-average shares, used as a valuation proxy.

Decision and valuation range

The revised linked-statement FCFF model produces a conditional scenario range of **$50.27-$87.17 per diluted share**, with a **$66.22 base case**. The range supports continued diligence rather than initiation. It is a model scenario range, not a probability interval or a fully current fair-value estimate.

The comparison price is **$218.36 at the September 10, 2026 close**, preserved in Lab 08. The financial base is FY2026, ended January 25, 2026. Later quarterly information and the interim valuation-date timing are not integrated; therefore the gap is not sufficient evidence to assert current overvaluation or an expected trading return. [1, 2]

Case	Operating assumptions	WACC	Value/share
Downside	Data Center growth path lower by 5 percentage points; 70% gross margin; capex 4% of revenue	17%	$50.27
Base	Data Center growth 35%,25%,18%,12%,8%; 72.5% margin; capex 3%	16%	$66.22
Upside	Data Center growth path higher by 5 percentage points; 75% margin; capex 3%	15%	$87.17

Terminal growth is 3% in all three cases. Scenarios combine related operating and valuation assumptions; they are not one-at-a-time sensitivity tests. The downside shows how slower demand, weaker pricing and greater reinvestment jointly reduce value. [3]

What carries the result

Data Center supplied **$193,737 million of $215,938 million FY2026 revenue (89.7%)**. Modeling it separately makes the forecast depend on an identifiable business driver. Growth fades as the revenue base expands; profitability and cash generation also depend on margins, R&D, inventory and capital spending. Strong historical performance alone does not establish an attractive entry price. [1]

The model calculates FCFF from after-tax operating income plus depreciation, less capital spending and operating working-capital investment. It discounts FCFF at WACC and bridges enterprise value to equity. The revised engine avoids subtracting depreciation twice after applying reported gross-margin and functional-expense ratios. [3, 4]

Valuation bridge, sensitivities and competing evidence

Base enterprise value is **$1,579.85 billion**. Add $62.556 billion cash and marketable securities, reserve $10.605 billion for operations, and subtract $8.468 billion debt to obtain **$1,623.34 billion equity value**. Divide by 24.514 billion diluted-share equivalents. Treatment of securities, other claims and the share proxy remains a limitation. [1, 3]

Terminal value supplies **60.5%** of base enterprise value. With operating assumptions fixed, WACC of 15%-17% and terminal growth of 2%-4% produce **$58.64-$76.50** per share. Matching the historical $218.36 price by changing only Data Center growth requires approximately **77.7%, 67.7%, 60.7%, 54.7% and 50.7% annual growth**. That is a conditional market-implied path, not a forecast or a unique explanation of price. [3]

Lab 08's qualified AMD/Broadcom P/E comparison produces a mechanical **$370.66-$931.18** span. Different business mixes, annual earnings windows and accounting effects prevent treating that span as NVIDIA fair value. **Do not average it with the DCF.** The required enterprise-value peer multiple remains absent from the present evidence, so the peer cross-check is incomplete. [2]

Conditions, monitoring and committee action

Reconsider initiation only after an updated, date-consistent forecast, dilution bridge and supported discount rate produce acceptable downside value relative to the then-observed price. Price falling toward the present model range is a review trigger, not an automatic buy signal. **Move toward do not initiate** if profitable Data Center demand weakens persistently, margins compress, or inventory and capacity commitments consume cash without corresponding returns. [2, 5]

Review the next earnings release for Data Center revenue/growth, gross margin and provisions, inventory, capex, customer concentration and export restrictions. Update the model and decision when those observations contradict the forecast. Key unresolved work is later-quarter incorporation, stub-period timing, one-time-item normalization, a point-in-time dilution/other-claims bridge and terminal reinvestment support. These limitations reinforce defer rather than justify false precision.

Committee ask: retain NVIDIA on watch, authorize the focused evidence refresh, and make no initial purchase on this analysis alone. The accepted lab judgment remains unchanged; the revised model makes its conditions more explicit.

Evidence references

[1] NVIDIA FY2026 Form 10-K, financial statements, Notes 4, 11 and 16; filed February 25, 2026. [2] lab08_nvda.md, dated September 10, 2026; historical prices and qualified peer policy. [3] outputs/project1-results.json and project1-report.html, revised linked FCFF model. [4] outputs/project1-operating-income-check.json; filing identity: 153,463 - 18,497 - 4,579 = 130,387. [5] lab12_nvda.md, prior research synthesis. Validation and material output checks are recorded in the accompanying validation document.